

ANNOUNCEMENTS

1

Global AI Stock Selloff Deepens as Markets Reprice the AI Trade

Source: CNBC / Reuters / Business Standard

On June 8, 2026, a selloff in AI-linked stocks that began on Wall Street spread across Asia. South Korea's Kospi triggered a circuit breaker, Japan's Nikkei dropped 4.5 percent, and SoftBank fell more than 7 percent. A Broadcom-led...

2

China Drafts a \$295 Billion Plan for a National AI Data Center Grid on Domestic Chips

Source: Bloomberg

Bloomberg reports that China is preparing to spend roughly 2 trillion yuan, about 295 billion dollars, over five years to build a nationwide network of interconnected AI data centers. The plan calls for at least 80 percent of...

3

Trump Considers US Government Equity Stakes in Leading AI Companies

Source: President Trump comments, CNBC, NOTUS, Washington Post, June 5, 2026

President Trump said on June 5, 2026, aboard Air Force One that he is considering government equity stakes in leading AI companies, with industry leaders scheduled to discuss the proposal at the White House the following week. The...

4

DeepSeek Reportedly Raising \$7.4 Billion First External Round at up to \$59 Billion Valuation

Source: Bloomberg via Yahoo Finance

Reports on June 3 say Chinese AI developer DeepSeek is preparing to raise about \$7.4 billion in its first external funding round, at a post-money valuation reported between \$52 billion and \$59 billion. Tencent, CATL, NetEase, JD.com, and...

5

Economists Estimate a Hidden AI Economy Growing Thousands of Percent a Year, Invisible in GDP

Source: Import AI (Jack Clark), citing PIIE working paper

A working paper by economists affiliated with the University of Virginia, Anthropic, and the Bank of Canada argues that the US AI economy is growing far faster than official statistics show. They estimate nominal AI output near 250...

THE WEEK IN ONE LINE

When a sector-wide selloff hits an industry no one can measure, the gap between forced sellers and structural winners is the activist's hunting ground.

Sources: Various AI industry and regulatory news outlets

WHAT IT MEANS

After two years of a near-vertical AI rally, forced selling and repricing is surfacing dislocation: names that rode the AI momentum trade without fundamentals to support their multiples...

Like a packed elevator that everyone crowded onto on the way up suddenly lurching, and the...

China is moving to treat AI compute as state-backed infrastructure while cutting dependence on US chips : a structural shift that reshapes the addressable market for every company..

It is Beijing choosing to build its own power grid rather than keep importing generators, accepting...

Federal equity in private AI companies, voluntary or otherwise, would reshape the relationship between AI and the state. For an activist, this introduces a new variable into the...

Like the moment in 2008 when the US Treasury took preferred-equity positions in major banks. The...

China's most prominent AI lab is moving from self-funded outsider to institutionally backed national champion. The \$52-59 billion valuation is a small fraction of US peers despite competitive...

It is like a garage band that had been refusing record deals finally signing with a...

The official macro data may be undercounting the most consequential structural shift in the economy by orders of magnitude. For an activist, the gap between what GDP reports...

It is like a shark already in the water while the beach reports calm seas: the...

keel3.com

WHAT IT MEANS FOR: ALPINE ASSOCIATES

DISLOCATION PLAY

This is a dislocation event, and for Alpine it is a sourcing opportunity. When a sector-wide selloff hits everything : from the chip designer with genuine pricing power to the adjacent services company...

DECOUPLING THESIS

The China decoupling thesis is no longer a geopolitical abstraction : it now comes with a \$295 billion price tag attached. Companies with significant China revenue exposure in the AI supply chain ...

GOVERNMENT CATALYST

The activist lens here is twofold. First, any AI company that 'voluntarily' donates equity to the government is transferring shareholder value to a non-commercial stakeholder : a governance question that an activist can...

VALUATION GAP

The DeepSeek valuation : \$52-59 billion versus OpenAI's \$1 trillion and Anthropic's \$70+ billion : is the most visible pricing gap in AI today. For Alpine, the question is where this gap shows...

MISPRICING SIGNAL

If this working paper is directionally right, then AI-driven structural change is happening faster than consensus economic assumptions : and faster change means faster dislocation. Sectors where AI is delivering real productivity gains...

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